

# Key Insights & Strategic Recommendations Report

**Prepared by:** Prakash Ranjan

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**Source:** SQL Analysis, Power BI Dashboard, Customer Orders & Payments Dataset

## ◇ 1. Sales & Order Patterns

### Insights:

- **Total Orders:** 15,000 with steady monthly volume (210–240/month).
- **Order Status:** Nearly identical distribution among delivered, shipped, and pending (≈33% each).
- **Revenue:** No significant sales trend observed across months or years.
- **Highest Order Value:** \$499.90.
- **Order Status Impact:** All statuses show similar average order values, suggesting uniform customer behavior.

## ◇ 2. Customer Behavior Insights

### Metrics:

- 👤 **Unique Customers:** 7,334
- 🔄 **Repeat Customers:** 4,402 → **60% retention**
- 📦 **Order Frequency:** Only 816 customers placed ≥4 orders
- ⌚ **Avg. Days Between Orders:** 479 days (suggests long repurchase cycles)
- 🎯 **Customer Segments:**
  - One-time: 2,932 (40%)
  - Occasional (2–3 orders): 3,586 (49%)

- Frequent ( $\geq 4$  orders): 816 (11%)

### ◇ 3. Payment Performance

#### Metrics:

-  **Total Transactions:** ~15,000
-  **Failure Rate:** 33% across all payment methods
-  **Missing Payment Records:** 5,500 orders ( $\approx 37\%$ )
-  **Delivered Orders with Failed Payments:** 1,650

### ◇ 4. Customer Retention Dashboard (Power BI)

#### Key Takeaways from Visuals:

-  **Overall Retention Rate: 61.41%**
-  **Year-wise Retention Drop:**
  - 2020: 5,936 customers retained over 5 years
  - 2021: Sharp drop to 3,825
  - 2023–2025: Downward trend continues
-  **Trend Line Observation:**
  - Cohort retention consistently drops with time
  - Customers from 2020 cohort are retained better than newer cohorts
-  **Retention Curve:**
  - Fast initial drop-off in first few months
  - Long-tail flattening trend afterward
-  **Problem Indicator:**
  - Customers are acquired but not consistently re-engaged

## Strategic Recommendations

### A. Revenue Recovery

| Action                                              | Impact                   |
|-----------------------------------------------------|--------------------------|
| Reconcile 5,500 orders with missing payment records | Prevent revenue leakage  |
| Audit and reduce failed payments (33% rate)         | Boost revenue collection |
| Implement retry logic on failed transactions        | Improve conversion       |

### B. Retention Improvement Plan

| Action                           | Target Group               | Impact                             |
|----------------------------------|----------------------------|------------------------------------|
| Loyalty Program                  | 3,586 occasional customers | Increase frequency to $\geq 4$     |
| Personalized Email/SMS reminders | After 400–450 days         | Preempt churn at avg. 479-day mark |
| Post-purchase follow-ups         | All new customers          | Encourage 2nd purchase early       |

### C. High-Value Customer Strategy

- Identify top 10% customers by order value
- Offer:
  - VIP discounts
  - Early access to promotions
  - Tiered benefits

### D. Operational Enhancements

**Problem**

**Fix**

33% of orders stuck in "pending"

Investigate fulfillment process & add escalation

Missing payment records

Implement payment reconciliation alerts

Incomplete payment collection logic

Enforce pre-shipment verification

## Quick Wins

### Priority

### Action

- ▲ 1 Recover revenue from 1,650 delivered-but-unpaid orders
- ▲ 2 Convert 10% of occasional buyers → 358 loyal customers
- ▲ 3 Reduce payment failure rate by 50% → unlock 7-figure value